Barrow Quantity Surveyors
Quantity surveying and cost management

Initial Quantity Surveyor Report
Footscray Build-to-Rent

Review of project budget, construction contract, contingency and programme for a proposed senio

Prepared for Quillwood Credit Partners

Barrow Quantity Surveyors

27 March 2026

Version 1.0, initial report

Reference: BQS-QCP-2026-0327-01

Date: 27 March 2026

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Borrower	Parkline Developments Pty Ltd
ABN	51 912 551 762
Sponsor	Parkline Group Holdings Pty Ltd (trading as Parkline Group)
Property	214 apartment build-to-rent project, Footscray VIC
Facility reviewed	A$96.0M senior secured construction facility, 42 month tenor
Builder	Hadley Construct Pty Ltd
Report date	27 March 2026
Prepared by	Barrow Quantity Surveyors
Prepared for	Quillwood Credit Partners

Report details

1. Executive summary

Quillwood Credit Partners has asked us to review the construction budget, the building contract, the contingency and the programme for the Footscray build-to-rent project before it considers a A$96.0M senior secured construction facility. This is an initial desktop report. It is based on the Information Memorandum dated 9 February 2026, the executed design and construct contract summary and the sponsor's cost plan. We have not yet inspected the site or tested the Hadley Construct pricing build-up in detail.

Our main conclusions are as follows.

- We assess hard construction cost to complete at A$93.4M, which is A$3.2M above the Hadley Construct lump sum of A$90.2M used in the Information Memorandum.
- We assess total development cost at A$145.2M against the sponsor budget of A$142.0M. The facility and equity of A$142.0M in total leave a funding gap of A$3.2M on our figures.
- The contingency of A$4.5M is about 3.2% of the sponsor's total development cost and about 5.0% of the contract sum. Because the contract carries provisional sums, we regard it as thin.
- The 24 month construction period is achievable but has little float against a fixed 42 month facility tenor, and no presales exist to support the lease-up period that follows.
- On our figures, loan to cost rises from 67.6% on the sponsor budget to 66.1% only if the gap is ignored. The correct comparison is that the debt is unchanged at A$96.0M while cost rises, so the gap must be met by additional sponsor equity.

We recommend that any approval be conditional on the A$3.2M gap being funded by the sponsor in cash ahead of the first facility drawing, on a contingency top-up, and on the monitoring arrangements set out in section 9.

2. Scope and basis of review

Our review covered four areas: the project budget, the Hadley Construct contract, the adequacy of the contingency, and the construction programme. Our figures are independent of the sponsor's and are stated as at 27 March 2026. We have relied on the independent as-if-complete value of A$151.0M from Calloway Ridge Valuers Pty Ltd dated 13 March 2026 only for loan to value comparisons. We have not reviewed that valuation.

Rates in this report are in Australian dollars, exclude GST unless stated, and are not escalated beyond the allowances noted. We have not seen a final geotechnical report or the builder's detailed subcontract buy-out schedule. Our assessment will be updated when these are provided.

3. Project description

The project is a single tower and podium of 17,900 square metres gross floor area, comprising 214 apartments (studio, one, two and three bedroom), resident amenity space, ground floor retail and basement parking. The site is about five kilometres west of the Melbourne CBD, close to Footscray railway station. The existing industrial buildings were demolished by January 2026, so the site is clear for main works. Planning permit was issued in March 2025.

On the contract sum, hard cost is about A$5,039 per square metre of gross floor area and about A$421,000 per apartment. On our assessed hard cost of A$93.4M the equivalent rates are about A$5,218 per square metre and about A$436,000 per apartment. These rates are reasonable for a high-rise residential building with basement parking in Melbourne, but they leave little room for a scope or specification shortfall.

4. Budget review

4.1 Comparison with the sponsor budget

The sponsor budget totals A$142.0M. We have accepted the land value, the contingency allowance and the non-construction items (professional fees, statutory charges, finance costs and other) at the sponsor figures for this initial report, and have adjusted only construction cost. The professional fee and finance cost lines will be tested in the next phase.

Cost item	Sponsor (A$M)	QS (A$M)	Variance (A$M)
Land (sponsor contribution)	21.5	21.5	0.0
Hadley Construct works	90.2	93.4	3.2
Contingency	4.5	4.5	0.0
Fees, statutory, finance and other	25.8	25.8	0.0
Total development cost	**142.0**	**145.2**	**3.2**

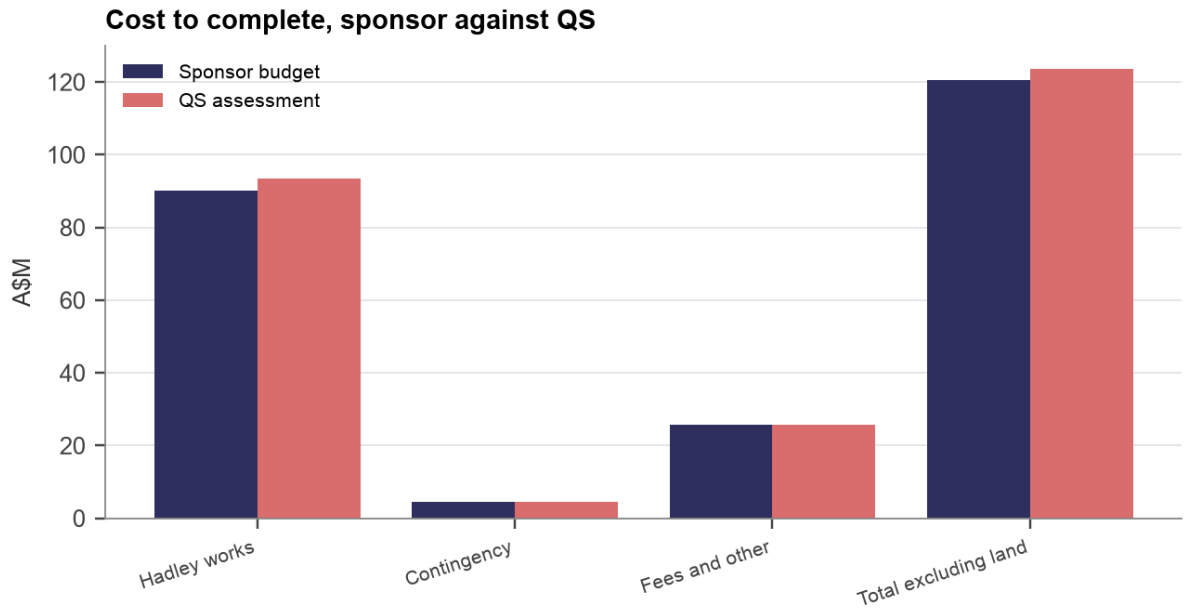
Total development cost, sponsor budget against QS assessment

4.2 Basis of the A$3.2M variance

The A$3.2M difference is not a challenge to the lump sum. It is our estimate of cost that will fall to the borrower in addition to the lump sum, because the contract contains provisional sums and some owner-side items that the sponsor budget does not carry.

Component of variance	A$M
Provisional sums likely to exceed allowance	1.8
Services and authority connection works outside contract scope	0.9
Escalation on owner-supplied and late-selected items	0.5
Total	**3.2**

QS allowance above the contract sum



Sponsor and QS cost to complete by component, excluding land

4.3 Funding position

The proposed sources are the A$96.0M facility and A$46.0M of sponsor equity, being A$21.5M of land contribution and A$24.5M of cash to be injected first. Sources of A$142.0M match the sponsor budget exactly. On our A$145.2M total development cost there is a shortfall of A$3.2M. Loan to cost on our figure is 66.1% (A$96.0M over A$145.2M), against 67.6% on the sponsor budget, but this improvement is only arithmetic. It does not mean the project is better funded.

5. Contract review

Hadley Construct Pty Ltd is engaged under a lump sum design and construct contract of A$90.2M executed in December 2025. A lump sum design and construct form places design development and construction risk on the builder, and that is favourable to the borrower and the lender. We note the following points requiring confirmation before the facility is documented.

- Provisional sums: the contract includes provisional sums that are not fixed price. We have not yet received the schedule and cannot confirm the total value or the items covered. Our A$1.8M allowance reflects typical outcomes on comparable projects.
- Employer's requirements: the level of design completion at contract signing should be confirmed. A low level of design completion at signing increases the likelihood of variations.
- Security: the contract should provide for unconditional bank guarantees, or equivalent, for the builder's performance. We have not seen the security package and recommend that its form and amount be confirmed.
- Liquidated damages and caps: the daily rate and overall cap for delay should be checked against the borrower's holding cost, including interest, during delay.
- Builder balance sheet: Hadley Construct is engaged on a single fixed-price contract. Its financial capacity to complete should be tested by the lender through a credit review, including its other work in progress.
- Step-in and novation: the builder should enter into a direct deed with the lender that allows step-in and novation of the contract.

6. Contingency

The sponsor budget carries a contingency of A$4.5M, about 3.2% of total development cost and about 5.0% of the contract sum. The allowance is less adequate than the percentages suggest, because it must absorb provisional sum movements, latent conditions, design changes and delay costs, and our A$3.2M allowance already commits much of it if the sponsor does not raise the budget.

For a tower of this size at an early stage of construction, we would expect an owner's contingency of not less than 5.0% of assessed hard cost, which on A$93.4M is about A$4.7M. We therefore recommend an additional A$0.2M, taking the total to A$4.7M. Together with the A$3.2M gap in section 4, the sponsor would need to provide A$3.4M of additional cash.

Funding item	A$M
Cost above sponsor budget	3.2
Contingency top-up to 5.0% of hard cost	0.2
Additional sponsor cash recommended	**3.4**

Recommended additional sponsor funding

The sponsor has limited capacity to meet overruns from outside the project. Parkline Group net debt is A$212.0M against EBITDA of A$38.4M, or 5.5 times. Additional equity should therefore be committed and deposited before first drawing and should not rely on a later undertaking.

7. Programme

The construction period is 24 months and is followed by an 18 month lease-up period, giving a facility tenor of 42 months. The site is clear following demolition completed in January 2026. If main works start in mid 2026, which we have assumed pending confirmation of the site possession date, practical completion would fall in mid 2028.

Stage	Duration (months)
Construction to practical completion	24
Lease-up to stabilisation	18
Facility tenor	42

Programme and facility timing

We make three observations. First, there is no float in the facility tenor: any delay to practical completion reduces the lease-up period, because the repayment date is fixed. Second, the project has no presales, so there is no early revenue to offset delay. Third, each month of delay increases capitalised interest on the drawn balance. We have not quantified this because it depends on the BBSW rate at the time. We recommend the lender request a detailed construction programme with a critical path and approvals schedule before documentation.

8. Key risks

Risk	QS comment
Cost overrun	A$3.2M above budget; provisional sums; thin contingency
Delay	No float against 42 month tenor; no presales
Builder default	Single fixed-price contract; security package not yet seen
Sponsor capacity	Group leverage of 5.5x limits support for overruns
Funding gap	Sources of A$142.0M against assessed cost of A$145.2M

Summary of construction risks

9. Recommendations

- Require the sponsor to fund the A$3.2M cost gap and a contingency top-up of A$0.2M in cash, in addition to the A$24.5M cash equity, before first drawing.
- Obtain the provisional sum schedule, the full contract, the builder's security and the direct deed with the lender, and confirm the position before documentation.
- Appoint an independent QS to certify each progress claim, with a monthly report on cost to complete, contingency use and programme.
- Set a cost-to-complete test, so that drawings are made only if the undrawn facility and remaining equity cover the QS-assessed cost to complete.
- Obtain a builder credit assessment and details of its current work in progress.
- Require approval from the lender for variations above an agreed threshold, and for any draw on the contingency.

10. Limitations

This is an initial report for Quillwood Credit Partners only and may not be relied on by any other party. It is based on documents supplied by the borrower and adviser, which we have not independently verified. Our cost figures are estimates and not a guarantee of final cost. We expect to issue an updated report after a site inspection and review of the full contract documents.

Sign-off

Prepared by	Barrow Quantity Surveyors
Report date	27 March 2026
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Status	Initial report, subject to update